

BUSINESS UNDERSTANDING REPORT

Project Title: **TELCO CUSTOMER CHURN ANALYSIS**

Prepared by: **Wisdom Ukah**

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Project Title

Telco Customer Churn Analysis

1. Business Background

Customer churn is one of the biggest challenges faced by telecommunication companies. When customers discontinue their services, companies lose revenue and incur additional costs to acquire new customers. Understanding why customers leave enables organizations to develop effective retention strategies and improve customer satisfaction.

This project analyzes customer data from a telecommunications company to identify the key factors influencing customer churn and provide actionable business recommendations.

2. Business Problem

The telecom company is experiencing customer churn, which negatively impacts revenue and long term business growth. Management requires insights into customer behavior to understand why customers leave and identify opportunities to improve customer retention.

3. Business Objectives

The objectives of this project are to:

- Analyze customer demographics and service usage.
- Identify the major factors contributing to customer churn.
- Evaluate customer retention across different customer segments.
- Develop an interactive Power BI dashboard for decision-making.
- Provide recommendations to reduce churn and improve customer loyalty.

4. Business Questions

This analysis seeks to answer the following business questions:

1. What does the customer base look like?
 2. Which segments have the highest churn?
 3. Does contract type influence retention?
 4. Does tenure affect loyalty?
 5. Which services influence churn?
 6. Which payment methods have higher churn?
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5. Stakeholders

The findings from this analysis are intended to support:

- Executive Management
 - Customer Retention Team
 - Marketing Department
 - Customer Service Department
 - Sales Team
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6. Project Scope

The project focuses on analyzing historical customer data to identify churn patterns based on customer demographics, contract types, tenure, payment methods, internet services, and value-added services. The analysis was performed using Microsoft Power BI.
